

CHOOSE A BUSINESS STRUCTURE

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WoltersKluwer

<https://www.wolterskluwer.com/en/expert-insights/what-is-a-sole-proprietorship-and-how-to-start-one>

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What Is a Sole Proprietorship and How To Start One?

Jennifer Woodside

You have a business idea, and you're ready to make it a reality. Maybe you're freelancing, selling a product, or turning a side gig into something bigger. Now you need to figure out how to set your business up properly, without drowning in paperwork or getting hit with surprise fees.

Good news. A sole proprietorship might be the easiest place to start. It's the simplest and most common business structure available in the United States, and according to the SBA, it's also the least expensive to establish. For many first-time founders, a sole proprietorship is the natural first step.

What is a sole proprietorship and who is it for?

A sole proprietorship is a non-registered, unincorporated business run by one individual, with no legal distinction between the business and the owner. As a sole proprietor, you are entitled to all the profits, but you're also responsible for the business's debts, losses, and liabilities.

How does a sole proprietorship work for taxes?

In a sole proprietorship, profits, taxes, and liability flow straight to you. There's no separate business tax return when filing with the IRS. Instead, any profit you make is simply treated as your own personal income.

Do you need to register a sole proprietorship?

Here's the part that surprises a lot of people: you don't need to formally register a sole proprietorship in order to create one. If you're the only owner and you start conducting business, you automatically become a sole proprietor. There's no paperwork to file at the federal, state, or local level just to be recognized as one.

However, forming the business and being compliant are two different things. Depending on your location and industry, you may still need to register with the state's tax agency, get a business license, or obtain specific permits before you can legally operate.

What are the steps to starting a sole proprietorship?

While the business itself forms automatically, a few practical steps will help you start your sole proprietorship on solid ground:

Confirm your business idea and name. Decide what you're offering and what you'll call your business. File a DBA if needed. Register a "doing business as" name if you're not using your own legal name. Alternatively, you can skip the DBA and simply operate under your own legal

name. This can work well for marketing, especially if you're building a personal brand. But keep in mind that any trouble the business runs into will carry your name, too.

Check licensing and registration requirements. If applicable, register with your state's tax agency for things like sales tax or employer withholding. Then check with your city or county clerk to find out what local licenses and permits your business and location require. Set up your finances and insurance. Open a separate business bank account, determine how you will track income and expenses, and consider liability insurance.

What are the advantages of a sole proprietorship?

A sole proprietorship is appealing because it's simple and inexpensive. Here are some advantages:

Easy startup: There's no formal registration to create the business, and startup costs are typically low.

Taxes: There's no separate business tax filing. Your profits are treated as personal income.

Maintenance: Ongoing requirements are minimal compared to other business structures, with low legal and administrative costs to keep things running.

Control: You have complete decision-making power. With no partners, you run things exactly as you choose.

Before you commit to starting a sole proprietorship, weigh these potential drawbacks against the benefits:

Liability: You're personally liable for all business obligations. Creditors can pursue your personal assets, like your savings or home, to cover business debts. (Business insurance can help reduce this risk.)

Funding: Raising money is harder because you can't sell stock, and banks may hesitate to approve a business loan without a business credit history or separate business assets to secure the loan.

Long-term survival: A sole proprietorship rarely survives if the owner dies or is incapacitated, since the business and owner are legally one and the same.

Lack of support: You alone are responsible for every decision, with no partners or co-owners to share the workload, offer guidance, or step in when you need help.

Sole proprietorship vs. LLC: which is better?

The core difference between a sole proprietorship and an LLC comes down to personal liability protection. A sole proprietorship offers none, since there's no separation between you and the business. An LLC is a separate legal entity, which generally shields your personal assets from business debts. Choose a sole proprietorship if you're a freelancer or running a low-risk side gig and want a fast, low-cost start. Consider an LLC or corporation if you need funding, plan to grow quickly, or want liability protection.

U.S. Chamber of Commerce
<https://www.uschamber.com/co/start/startup/general-partnerships>
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What Is a General Partnership?
Emily Heaslip

If you're going into business with someone, you might consider structuring your company as a general partnership. A general partnership is a type of business arrangement between two or more individuals who agree to share all assets, profits, and liabilities of the business. Because of its simplicity and tax benefits, a general partnership is one of the most common legal business entities. However, it's important to note that each partner is personally responsible for the business, including its debts and lawsuits, and is liable for the actions of their partner(s).

What goes into a general partnership?

General partnerships are considered unincorporated businesses. Like a sole proprietorship, these business entities don't need to register with a state to function legally. However, any secure business needs a few foundational elements to function seamlessly, such as a partnership agreement, a management structure, and guidelines for compensation and decision-making.

A partnership agreement is not legally required, but it's helpful to have a document that outlines the rights and responsibilities of each partner. Likewise, general partnerships should have a management structure in place that outlines the following:

- The rights and responsibilities of the partners.
- The partnership's assets and liabilities.
- The financial responsibilities of partners and the partnership.
- How decisions are made and how profits will be allocated.

Financially, general partnerships usually receive capital contributions in the form of money, property, or services from the partners. Profits and losses are shared equally, though the partnership agreement can specify different allocations.

Benefits of a general partnership

Going into business with another person (or more) is advantageous. After all, two heads are better than one, and having a business partner can double your resources, availability, and reach. Here are three benefits of a general partnership:

- Easy to establish: Similar to establishing a sole proprietorship, you don't need to file any forms with the state to start a general partnership; you only need a verbal agreement with your partners. Setting up a general partnership is relatively inexpensive because you don't have to file paperwork.
- Simplified taxes: General partnerships benefit from pass-through taxation, where taxes on the business's profits or losses pass directly through the entity to the partners' personal taxes.
- Easy to dissolve: If business owners must close their business for any reason, such as one partner filing for bankruptcy or one who wants to retire, dissolving a general partnership is easy.

Disadvantages of a general partnership

Although general partnerships have strong advantages, there are disadvantages to consider before forming this type of legal entity. These are the two main disadvantages of a general partnership:

Personal liability exposure: Unlike corporations, general partnerships are not considered separate legal entities. This means the partners are not protected from lawsuits brought against the business. Additionally, personal assets may be seized to cover unpaid debts. Partners are liable for each other: Each partner is liable for the others' actions and debts, which makes it the riskiest part of starting a general partnership. It also means it's very important to know and trust the people you plan to go into business with.

In a general partnership, each partner is personally liable for the debts and obligations of the business—meaning your personal assets, such as your home, savings, and vehicles, can be pursued to satisfy business debts. This liability is also joint and several, so you can be held responsible for the full amount of a debt or legal judgment, even if it arose from the actions of another partner.

What are some examples of general partnerships?

More businesses than you may realize function as general partnerships. Classic examples include professional services, such as law firms, medical practices, and accounting firms. For instance, groups of doctors often form general partnerships to run a medical practice. Creative agencies or real estate groups can also operate as general partnerships. Design studios may bring together graphic designers or architects under a general partnership to combine their talents and client bases. Likewise, realtors may partner to create a joint real estate brokerage.

Steps to legally form a general partnership

Forming a general partnership is usually very simple. In most states, it legally exists as soon as two or more people agree to run a business for profit. But you still need to take several steps to operate properly and comply with tax and licensing rules. Exact requirements vary by state and city, so check the local rules or talk to a professional before finalizing anything.

US Chamber of Commerce
<https://www.uschamber.com/co/start/strategy/limited-partnerships-explained>
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A Guide to Limited Partnerships Sean Peek

Selecting the right business structure is a critical decision for any entrepreneur, as your choice affects ownership, liability, and how you operate. Limited partnerships are a popular option because they offer a blend of general partnerships with the added flexibility of limited investors.

What is a limited partnership?

A limited partnership is an agreement between two or more people running a business together with varying levels of liability and control. Essentially, the more liability you have in a limited partnership, the more say you have in how the business operates.

In a limited partnership, there are both general and limited partners. General partners are liable for all debts and obligations of a business. General partners handle everything required to manage the business, including making day-to-day decisions. Limited partners are only accountable for the amount they've invested in a company. They act as silent partners and are not

responsible for running the business – only for investing in it. Limited partnerships offer pass-through taxation, in which profits and losses are reported on each partners' individual tax returns.

Pros of limited partnerships

Some pros of this arrangement are:

Growth is scalable. If the undertaking merits growth, limited partnerships are relatively easy to scale up in size.

Limited partnership shares are considered securities. In other words, shares of a limited partnership can be sold to help raise capital — without going public.

Limited partners have limited liability for losses. As a limited partner, you are only accountable for the amount of money you've chosen to invest in the business. So, if your company gets sued, you won't be responsible for paying hefty funds like general partners. You get to decide how involved you are in the business, both physically and financially.

Partners can be quickly replaced. If a limited partner decides to leave the business suddenly, management can easily and quickly find a replacement for them. This not only prevents turnover issues but also makes limited partnerships more attractive to venture capitalists.

Cons of limited partnerships

Some concerns include:

General partners are personally responsible for business debts and risks. As a general partner, all the debts and risks fall onto you. If someone slips up, or your company is sued, you're the one accountable for the consequences.

Profits are treated as personal income. All partners have to file tax returns based on profits. There's no one-size-fits-all approach to structuring a business.

Is a limited partnership right for you?

Generally, a limited partnership is ideal for business owners who anticipate going into business alone but could use a bit of financial support. For instance, if you originally intended to start a sole proprietorship or general partnership, you likely feel comfortable assuming most of the liabilities in your business. Deciding on a limited partnership will allow you that same freedom and independence, with more access to less complex funding from investors.

Family businesses and commercial real estate projects are two business types that can benefit from a limited partnership. In a family business, management responsibilities can be structured to pass on to the next generation, and in a commercial real estate project, general partners provide oversight of the construction and maintenance of the project. There's no one-size-fits-all approach to structuring your business. You'll need to evaluate your business's goals and the desired level of investor involvement to see if a limited partnership is right for you.

How to form a limited partnership

To officially form a limited partnership, you will need to take certain steps to ensure your business is properly registered with federal and state authorities.

Register your business – The first step in registering your business is confirming its name and ensuring its availability by searching your state's business database. Next, you'll need to

designate a registered agent who serves as a clear point of contact for your business; your registered agent will be responsible for receiving and processing document deliveries from the state. Prepare a detailed partnership agreement – A partnership agreement is a legally binding internal document defining how the business will be operated, outlining the rights, responsibilities, and expectations of each partner. It should dictate how decision-making works in the business, both for day-to-day and major decisions. The partnership agreement should also spell out how profits and losses will be shared among the partners, as well as the formal process by which partners can sell their stake in the company.

Acquire any necessary licenses, permits, and insurance – The specific licenses, permits, and insurance you must secure will vary from state to state. For example, some states require limited partnerships to obtain a general business license. Certain industries, such as agriculture, mining, and firearms, might require both federal and state licenses. You might also be legally required to acquire workers' compensation insurance or other industry-specific policies in addition to general liability policies.

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<https://www.wolterskluwer.com/en/expert-insights/how-to-form-an-llc-what-is-an-llc-advantages-disadvantages-and-more>

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What is an LLC?

Dave Griswold

A limited liability company (LLC) is a business structure that combines some features of a corporation (limited liability, separate legal existence) with those of a partnership (pass-through taxation, management flexibility). Since the LLC legally exists as a separate entity from its investors, investors cannot typically be held personally responsible for the LLC's debts and obligations. In other words, their personal assets in most cases remain protected.

The IRS considers an LLC to be a pass-through tax entity. This means that business income is not taxed at the business entity level. Instead, any LLC income or loss as shown on its return is "passed through" to the investors. The investors, known as "members," must then report the income or loss on their personal tax returns and pay any necessary tax.

The LLC members can choose to manage the business, or they can appoint managers to make the day-to-day decisions in running the LLC. Managers can consist of appointed managers only, or a combination of owners and appointed managers.

Benefits of forming an LLC

Personal asset protection: LLC members are shielded from personal liability for actions by the LLC and its other members. Creditors cannot go after the personal assets (house, savings accounts, etc.) of the owners to pay business debts. With a sole proprietorship or general partnership, there is no legal distinction between the business and the investors. Without that separation, creditors and other parties are able to go after the investors' personal assets in order to satisfy the business' debts.

Flexible membership: LLC members can be individuals, partnerships, trusts, or corporations, and there is no limit on the number of members.

Flexible management structure: LLC members can manage the LLC or elect a management group to do so. When an LLC is managed by members (a “member-managed” management structure), the investors oversee daily business operations. When managed by appointed managers (a “manager-managed” management structure), the LLC resembles a corporation, where business management is the responsibility of the directors and officers rather than the shareholders.

Flexible taxation: LLCs typically do not pay taxes at the business entity level. Any business income or loss is “passed-through” to members and reported on their personal income tax returns. Any tax due is paid at the individual level.

Possible LLC disadvantages

Cost: An LLC usually costs more to form and maintain than a sole proprietorship or general partnership. States charge an initial formation fee. Many states also impose ongoing fees, such as annual report and/or franchise tax fees. In addition, an LLC (as well as an S or C corporation) also has ongoing compliance obligations with the state. Examples include maintaining a registered agent and filing an annual report.

Limited ownership transferability: Membership in an LLC is often harder to transfer than with a corporation. With corporations, shares of stock sometimes can be sold by the corporation and, unless there is a shareholder agreement to the contrary, the shareholders can sell their shares to someone else. The ability to buy or sell ownership in the form of stocks without restrictions is one of the reasons why investors sometimes prefer corporations. Typically, with LLCs, unless the members agree otherwise when the LLC is created, all members must approve adding new members or altering the ownership percentages of existing members.

How to create an LLC: A step-by-step guide

LLCs are generally easier to form than a corporation, but there are some administrative and compliance tasks to be done. Although requirements can vary by state, these are the basic steps for setting up an LLC.

Step 1: Choose a formation state for your LLC. You can choose to create an LLC in any state — even if the LLC won’t be doing any business there. However, most LLC owners choose to form an LLC in the state where they plan to do business, which is often their state of residence. If you form your LLC in one state, but do business in another state, you’ll need to register your LLC in both states. In the second state, you would apply as a foreign LLC, aka foreign qualify. This means dealing with state filings, fees, and compliance responsibilities in two states.

Step 2: Select a name for your LLC. Each state has different rules for naming your LLC. One of the main requirements is that the LLC name must end with a state-approved term or abbreviation indicating that the business is a limited liability company, such as “Limited Liability Company” or “LLC.”

Step 3: Choose a registered agent. When starting a new LLC, you will need to have a registered agent in the state of formation. If you later register your LLC to do business in another state (foreign qualification), you’ll also need a registered agent in that state. A registered agent, also known as an agent for service of process, receives important legal and tax documents on behalf of your LLC.

Step 4: Determine the LLC management structure. LLCs offer two management structures: “member managed” and “manager managed”. A member-managed LLC is where all LLC members participate in running the business. In a manager-managed LLC, the LLC is run by managers

who have been appointed by the LLC's members. Some states require that you indicate the management structure of the LLC when filing the formation documents.

Step 5: Draft your LLC operating agreement. An LLC operating agreement is required in nearly every state. While most states allow oral agreements, it is highly recommended that every LLC have a written operating agreement. As the name implies, this document is an agreement among the LLC members and between the LLC and the members as to how the LLC will be operated. Even if there is only one member, it is still important to have an operating agreement. This shows that you respect the LLC's separate existence (and this can help avoid piercing the veil). An operating agreement also gives you a chance to put in writing what you want to happen in certain circumstances, such as if you can no longer manage the business. It also allows you to override or opt out of certain default provisions of the state LLC statute that might not align with your business needs. It is particularly important for multi-member LLCs to have a well-drafted operating agreement. This document will clearly spell out the division of responsibility, labor and profits. It should detail, among other things, who has authority to do what, what vote is required to approve certain transactions, how membership interests can be transferred, how new members can be added, how distributions, profits and losses will be split, and more.

Step 6: File Articles of Organization with the state. To make your new LLC exist officially, you must file LLC formation documents with the Secretary of State's office (or whichever department handles business filings in your formation state). This document is commonly referred to as Articles of Organization, Certificate of Organization, or Certificate of Formation.

Can an LLC be "incorporated"?

Although it is common to hear of an LLC being "incorporated", an LLC is not a corporation. Technically, the correct way to describe the creation of an LLC (or any entity type other than a corporation) is to say that the business has been "formed" or "organized." "Incorporation" and "Articles of Incorporation" are terms that are meant to apply only to a corporation.

Investopedia
<https://www.investopedia.com/terms/c/corporation.asp>
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Corporation: What It Is and How to Form One

A corporation is a legal entity that is separate and distinct from its investors.

A corporation is created through incorporation by an individual or a group of investors . . . In the United States, corporations are created and regulated by state laws. Public corporations are regulated by federal law through the Securities and Exchange Commission. Corporations may seek revenue or profit. Some corporations, such as charities and fraternal organizations, are nonprofit. The University of Pennsylvania is a nonprofit corporation. A private or closed corporation may have a single shareholder or several. Publicly traded corporations have many shareholders.

Forming a Corporation

These are the basic steps to take to form a corporation:

Decide on a name.

Name a registered agent. This person must have a physical address in the state so they can receive any legal documents necessary to run the business.

File articles of incorporation with the state and file any registration fees.

Establish corporate bylaws. These are rules that highlight how the corporation will be structured and run.

Hold a board meeting and authorize and issue stock.

Get an employer identification number (EIN) through the IRS. You need this to file taxes and open bank accounts.

Advantages and Disadvantages of Forming a Corporation

<u>pros</u>	<u>cons</u>
limited liability for shareholders	time consuming to form and operate
ability to raise capital by selling shares	requires complex paperwork and reporting
some corporations get beneficial tax treatment	costly to form and to liquidate

Operating a Corporation

Some shareholders of a corporation vote on certain issues and some shareholders elect a board of directors. The board of directors broadly establishes and executes the corporation's business plan. Although the members usually are not personally responsible for the corporation's legal and financial liabilities, they owe a duty of care to the corporation and may be held responsible if they neglect this duty. The board also appoints and oversees the senior management responsible for the corporation's day-to-day activities. Senior management also hires managers who implement and perform business operations and who oversee other workers, and so on.

Liquidating a Corporation

Incorporation can be ended using the process called liquidation. This may result from a voluntary decision to cease operations or may be forced by the financial collapse of the business, penalties for legal misconduct, and a variety of other reasons. An involuntary liquidation can also be triggered by the creditors of a corporation that has failed to pay its bills. If the situation cannot be resolved, it is followed by a filing for bankruptcy, which could result in liquidation.

In all cases, liquidation requires substantial paperwork. It also requires an adequate period of sufficient notification to any parties who might have relationships with the corporation. The final actions involve a liquidator, appointed by the corporation or by the state, who sells the corporation's assets. The proceeds of that sale are used to pay off the corporation's creditors. Any remaining proceeds are distributed to certain shareholders.

What Is the Difference Between a Limited Liability Company and a Corporation?

Both a limited liability company and a corporation are business structures that offer limited liability protection to their owners.

An LLC is a pass-through entity. That is, its profits and the responsibility to pay taxes on the profits are passed to the owners rather than paid by the LLC. Establishing an LLC is a relatively straightforward process. By comparison, a corporation must elect a board of directors, conduct annual meetings, and adopt bylaws.